

Investment	Speculation
1. In bonds.	In stocks.
2. Outright purchases.	Purchases on margin.
3. For permanent holding.	For a "quick turn."
4. For income.	For profit.
5. In safe securities.	In risky issues.

The first four distinctions have the advantage of being entirely definite, and each of them also sets forth a characteristic which is applicable to the *general run* of investment or speculation. They are all open to the objection that in numerous individual cases the criterion suggested would not properly apply.

1. Bonds vs. Stocks. Taking up the first distinction, we find it corresponds to a common idea of investing as opposed to speculating, and that it also has the weight of at least one authority on investment who insists that only bonds belong in that category.³ The latter contention, however, runs counter to the well-nigh universal acceptance of high-grade preferred stocks as media of investment. Furthermore, it is most dangerous to regard the bond form as possessing inherently the credentials of an investment, for a poorly secured bond may not only be thoroughly speculative but the most unattractive form of speculation as well. It is logically unsound, furthermore, to deny investment rating to a strongly entrenched common stock merely because it possesses profit possibilities. Even the popular view recognizes this fact, since at all times certain especially sound common stocks have been rated as investment issues and their purchasers regarded as investors and not as speculators.

2 and 3. Outright vs. Marginal Purchases; Permanent vs. Temporary Holding. The second and third distinctions relate to the customary *method* and *intention*, rather than to the innate character of investment and speculative operations. It should be obvious that buying a stock outright does not *ipso facto* make the transaction an investment. In truth the

³ Lawrence Chamberlain at p. 8 of *Investment and Speculation* by Chamberlain and William W. Hay, New York, 1931.